

[TEST] 2025.05.17 - Freedom Blueprint (May 2025)



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THE FREEDOM
BLUEPRINT

DIY Investing Insights
That Matter



Hi DIY-Investors.com!

Welcome to the May 2025 edition of 'The Freedom Blueprint', the monthly newsletter from diy-investors.com. The gloom and doom that pervades our media does have a persistent element of public perception of being "worse off than before". Most of us that have ventured into a supermarket (regularly), in the past year or two, can also vouch for inflation affecting our household budgets. We've tasked Cedric with looking into this... see below and as ever, we're keen to hear your views!

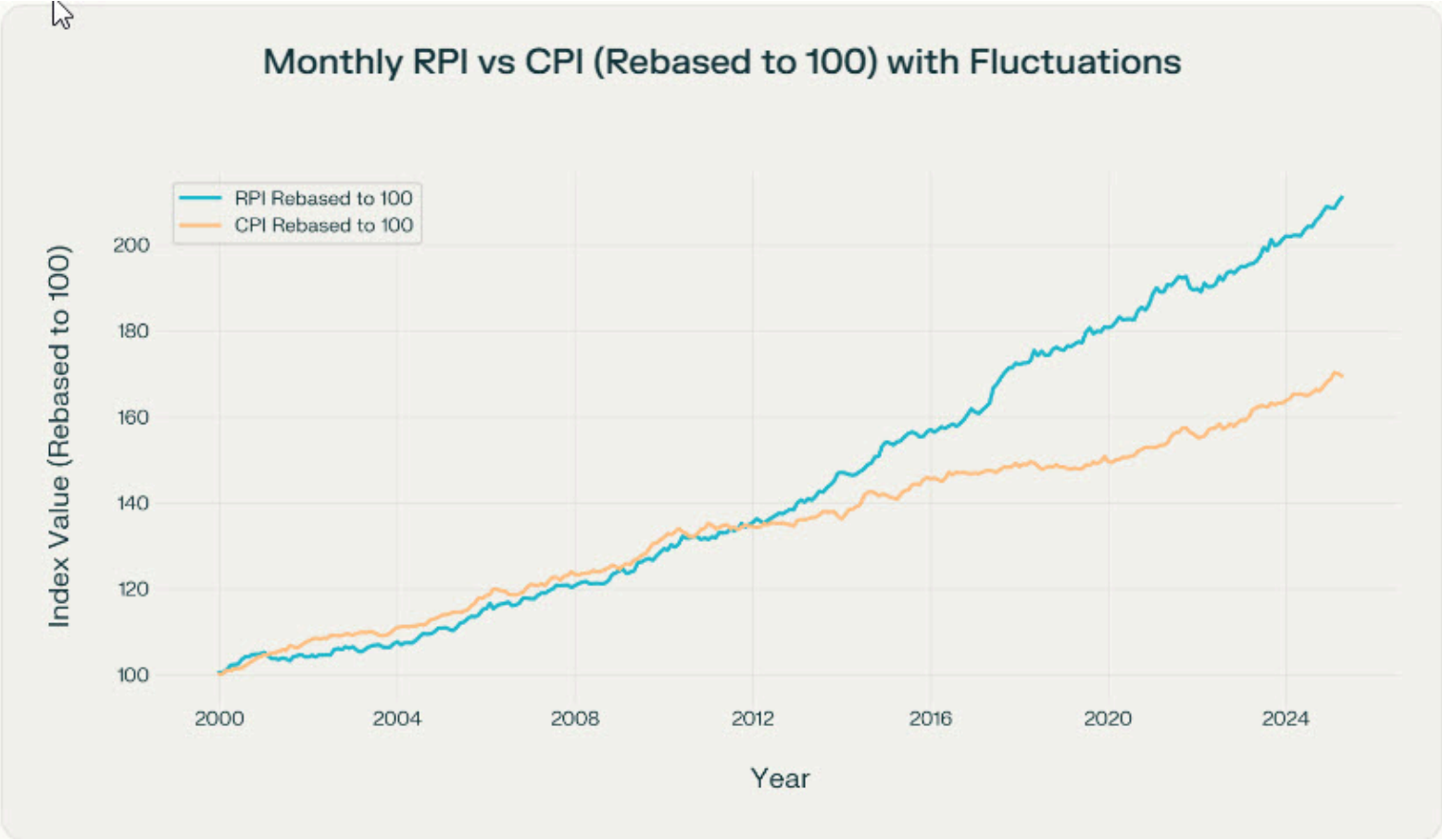
April 2025 was another busy month, here at diy-investors, with three webinars taking place; our regular Inner Circle (monthly) Meeting, the second "AI for DIY-Investors" presentation and the quarterly Portico Plaza Group of DIY-Investors. The recordings for these are available, to members, on the diy-investors.com (and diy-investors.ai) websites.

The third AI for DIY-Investing webinar will take place on Wednesday 28th May 2025 at 7.30pm. If you've not yet signed up to the diy-investors.ai website, then you can do so [HERE!](#) This will automatically mean that you receive an invite to the AI presentation on 28th May, when the main topic will be 'Introduction to Automation (for DIY-Investing)'. For those that are members, a reminder (and invite) for this, will be sent out in the next few days.

"Ask Cedric": The cost of living (CPI -v - RPI) - Why are people feeling worse off?

We frequently hear people talk about inflation and feeling worse off, so we've taken a look back to the start of this century to see if there are any differences between the use of CPI and RPI. The data is still recorded by the ONS but is very difficult to track down... never mind do anything with.

Enter my AI research assistant 'Cedric'. I tasked him with obtaining the data, from the ONS and plotting RPI against CPI (using monthly data). I also asked him to check the percentage difference between the two methods, every five years (see below)...



The results are very interesting and (perhaps) go part of the way towards explaining why people feel much worse off. The widening gulf between RPI and CPI is especially noticeable in the past twelve years. This contrast is strikingly clear when we look (below) at a table of 5 yearly snapshots of the percentage difference between RPI and CPI.

Table: RPI vs CPI at 5-Year Intervals (Rebased to 100 at Jan 2000)

Year	RPI Rebased	CPI Rebased	% Difference (RPI vs CPI)
2000	100.50	100.17	0.33%
2005	110.85	113.96	-2.73%
2010	129.36	131.97	-1.98%
2015	154.21	141.88	8.69%
2020	180.78	149.63	20.82%
2025	208.66	168.77	23.64%

From the perspective of elderly people, relying on the state pension where increases are linked to CPI, the effect is very real. Perhaps it's no wonder that there have been loud protests about the cutting of the winter fuel allowance?

With the growing numbers of pensioners, as the 'Baby Boomers' reach retirement age, this is a problem that the Government of the Day (regardless of right or left leanings) is going to have to face up to in my opinion.

Stock Markets:

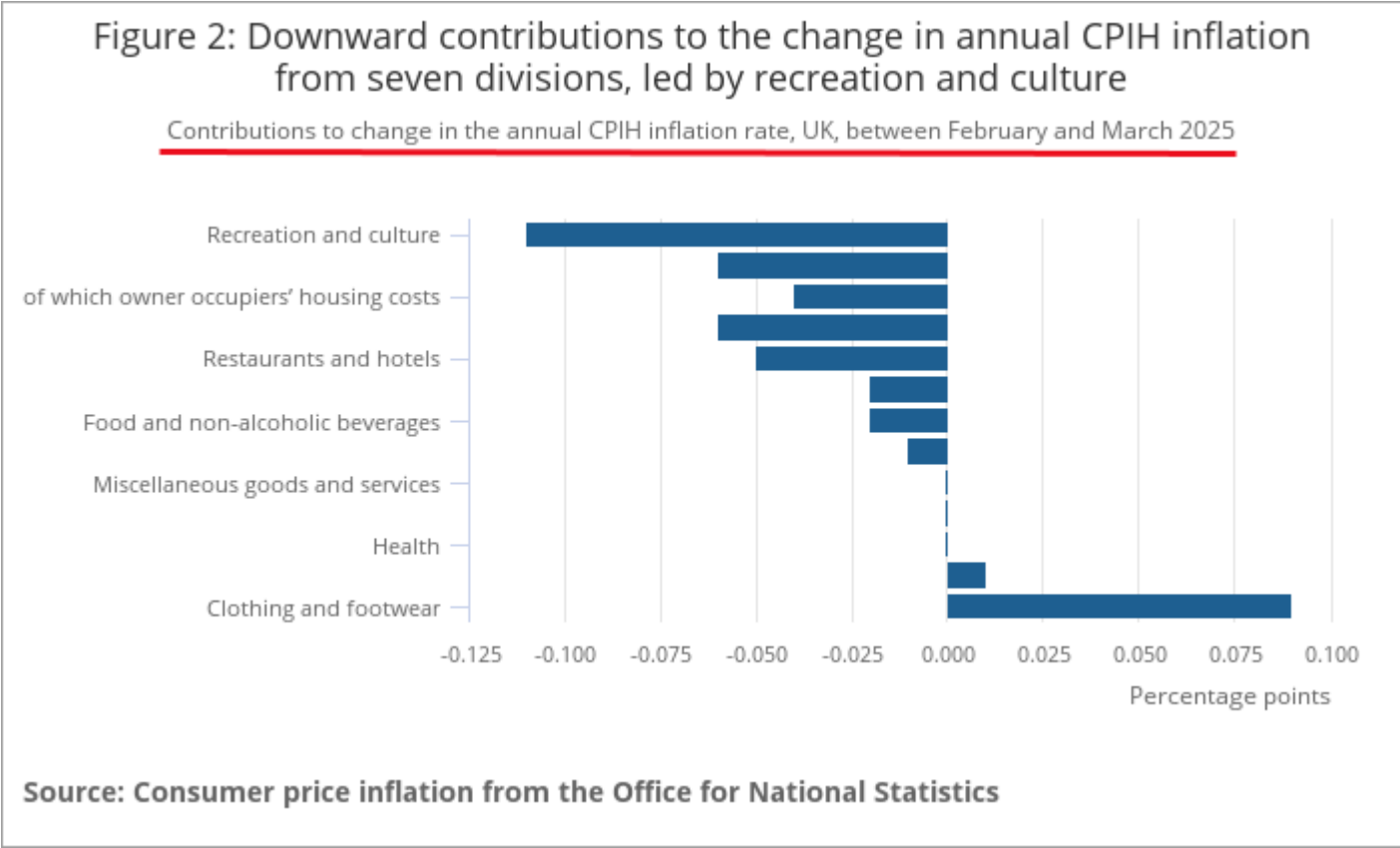
Market Volatility Takes Center Stage...

The past fortnight has witnessed significant market turbulence, with major indices experiencing heightened volatility following the surprise announcement of additional US tariffs on Chinese imports. This has particularly impacted technology hardware manufacturers, with semiconductor stocks bearing the brunt of investor concerns. Meanwhile, the Bank of England's recent decision to cut interest rates to 4.25% has injected a cautious optimism into UK markets, though investors remain attentive to upcoming inflation data that could influence the pace of future monetary easing.

Corporate earnings season has revealed a widening gap between sectors, with traditional banking stocks outperforming expectations while several high-profile tech companies have disappointed. Notably, Inspec Group (SPEC.L) exemplifies the challenges faced by consumer discretionary stocks, reporting (10th April 2025) a 2.5% revenue decline to £198.3m for FY2024 and swinging to a £1.0m loss before tax despite gross margin improvements to 52.2%. Their covenant breach (though waived by HSBC) signals potential liquidity challenges being faced across multiple sectors as companies adjust to the changing interest rate environment. However, we should all note that Hedge funds have been reducing exposure to consumer discretionary stocks, reflecting broader concerns about economic slowdown and changing interest rate environments impacting liquidity and spending.

Recent economic data presents investors with a complex picture, as UK inflation was 2.6% in March 2025 and is expected to rise to 3% in April, while wage growth remains high at 5.9% in February 2025. This divergence complicates monetary policy decisions and has contributed to sterling's recent volatility. The housing market seems to have shown some resilience; UK house prices increased 1.6% in the year to March 2025, although transaction volumes remain lower than historical averages.

The overall picture of the downward inflation data is mixed, as shown in the ONS data (see below)...



Energy markets have stabilized somewhat following recent Middle East tensions, with Brent crude settling around \$65 per barrel, providing some relief for transportation and manufacturing sectors. The retail landscape continues its transformation, with several high street retailers announcing store closures while online-first brands expand their physical presence. For diy-investors, perhaps the key question is whether to position for a 'soft landing' scenario with selective growth opportunities or prepare for potential further deterioration in consumer spending as pandemic savings continue to deplete and the full impact of cumulative interest rate increases works through the economy." Mick (18th May 2025)

UK Active 10 Portfolio (2025): 30th April 2025

Holdings

Cash

Value on date

Tax

Analysis

Current holdings

Chart

Sharing

Transactions for Portfolio: 0 - 2025 - Active 10 (UK)

Range

Full history

From

01/01/2025

To

30/04/

From date

Between

To date

UK Active 10: 30th April 2025

(Up by £644.91 (+6.44%))

Valuation on 30/4/2025

Description

Shares

Book value

Price

Holding

Holding %

Centrica PLC

748

£999.33

£1.60

£1,197.92

11.3

Endeavour Mining PLC

63

£993.51

£20.16

£1,270.08

11.9

Enwell Energy PLC

4,545

£999.90

£0.18

£818.10

7.7

Fresnillo PLC

125

£998.75

£10.02

£1,252.50

11.8

Hilton Food Group PLC

112

£1,000.16

£8.89

£995.68

9.4

OPG Power Ventures PLC

16,260

£999.99

£0.05

£739.83

7.0

Orosur Mining Inc

7,355

£500.14

£0.10

£772.28

7.3

TruFin PLC

1,204

£999.32

£0.75

£903.00

8.5

WisdomTree Natural Gas

137

£993.39

£6.40

£876.36

8.2

Cash

-

-

-

£1,819.16

17.1

Total

£10,644.91

100.0

Compared (last close) to: FTSE All-Share

£10,188.04

UK Active 10: 30th April 2025

20:25

03/05/2025

The diy-investors website carries [details of the UK Active 10 portfolio](#), as well as similar portfolios going back over a number of years. The portfolio value has increased slightly during April and following the sale of Chrysalis Investments [CHRY], the cash is now £1,819.16 - being 17.1% of the portfolio value. The current valuation, at the time of writing (18th May 2025) is £10,867, little changed from the last newsletter.

US Active 10 Portfolio (2025): 30th April 2025

Holdings

Cash

Value on date

Tax

Analysis

Current holdings

Chart

Sharing

Transactions for Portfolio: 0 - 2025 - Active 10 (US)

Range

Full history

From

01/01/2025

To

30/04/

From date

Between

To date

US Active 10: 30th April 2025

(Gain = \$203.98 [+2.03%])

Valuation on 30/4/2025		30/4/2025			
Description	Shares	Book value	Price	Holding	Holding %
Harmony Gold Mining Co Ltd	55	\$994.95	\$15.91	\$875.05	8.6
IAMGold Corp	196	\$999.60	\$7.09	\$1,389.64	13.6
Kinross Gold Corp	93	\$1,001.61	\$14.76	\$1,372.68	13.5
Silvercorp Metals In	334	\$998.66	\$3.75	\$1,252.50	12.3
T1 Energy Inc	389	\$999.73	\$1.21	\$470.69	4.6
Teekay Corp	145	\$996.15	\$7.21	\$1,044.72	10.2
Vimeo Inc	156	\$996.84	\$5.04	\$786.24	7.7
Cash	-	-	-	\$3,012.46	29.5
Total				\$10,203.98	100.0
Compared (last close) to: FTSE All-Share				\$10,188.04	

US Active 10: 30th April 2025

20:38

03/05/2025

The US Active 10 Portfolio is still lagging the UK version (+2.03% - v - +6.44%). Following the addition of Pan American Silver [PAAS] to the portfolio on 8th May, cash remains high - at about 30% of the portfolio. This continues to reflect our ongoing caution about the US Markets, following the volatility widely attributed to the Tariff Announcements by the US President.

Details of this US Active 10 Portfolio are available on our website [HERE!](#)

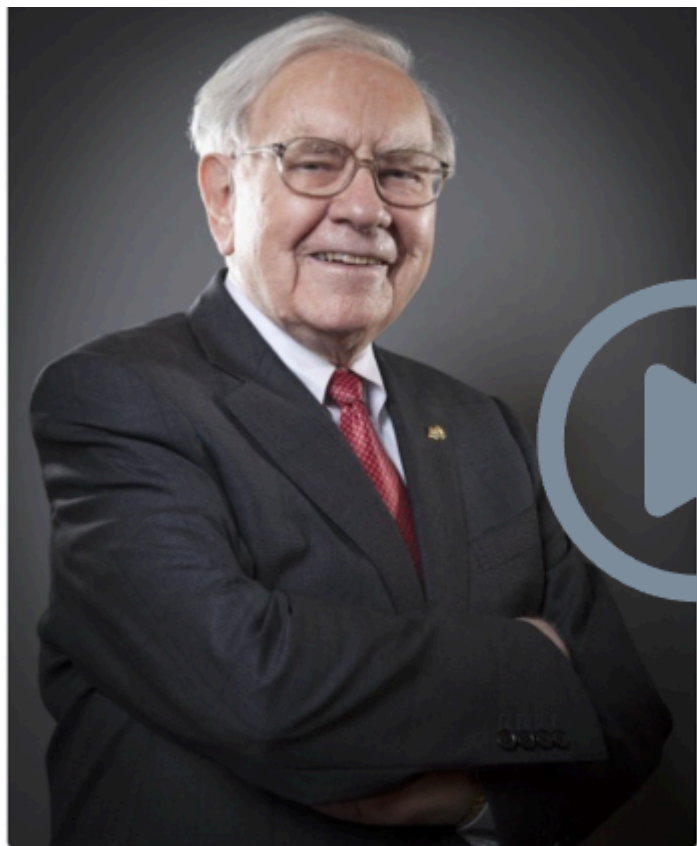
A good year to be aware of what Buffett thinks of the current US Markets? (based on his musings on Saturday 3rd May 2025)

Executive Summary:

The video (below) provides an in-depth analysis of the Berkshire Hathaway annual shareholders meeting, focusing on Warren Buffett's insights and evolving strategies. Key challenges discussed include wildfire risks and liability issues within Berkshire Hathaway Energy (BHE). Buffett and Greg Abel highlighted proactive measures such as strategic de-energization and stronger infrastructure. The failed healthcare venture, 'Haven', with JP Morgan and Amazon was also examined, acknowledging the complexities of the US healthcare system. Abel emphasized continuity in capital allocation, upholding the 'Berkshire way' and maintaining a fortress balance sheet.

Buffett, at 94, offered reflections on economic issues like the US fiscal deficit and the balance between

productive economic activities and speculative financial markets. The overarching messages stressed understanding risks, long-term thinking, and the value of transparency and honesty in corporate operations.



"Why Buffett Just Abandoned His #1 Investing Rule After 60 Years"

Berkshire Hathaway:
Annual Shareholders Meeting

Saturday 3rd May 2025 [pm]
- Condensed into 15 minutes!

Insights from the Berkshire Hathaway Annual Shareholders Meeting: Understanding Risks, Capital Allocation, and Economic Perspectives

The latest Berkshire Hathaway annual shareholders meeting, led by Warren Buffett, at the remarkable age of 94, offered a window into the evolving strategies of one of the world's most established investment conglomerates. As usual, there were some great insights and narratives from this huge annual gathering.

Section 1: Navigating the Complexities of Berkshire Hathaway Energy (BHE)

Kicking off the discussion was Berkshire Hathaway Energy (BHE), a segment of their operations facing unprecedented challenges, especially with the rising wildfire risks in the western United States. These environmental threats pose significant liabilities and have forced BHE to rethink its operational tactics. Efforts now include "hardening" infrastructure with stronger poles, strategic de-energizing, and intense vegetation management to mitigate risks. However, the path isn't straightforward. The California utility giant finds itself in a political and legal labyrinth as evolving interpretations of liability threaten to jeopardize investor wealth, sparking Berkshire's proactive engagement with lawmakers.

Section 2: The Ever-Changing Healthcare Landscape and Lessons from Haven

Shifting to healthcare, Buffett's insights into the Haven venture with JP Morgan and Amazon revealed hard lessons about tackling the U.S. healthcare system. The ambition was huge: to control escalating costs that Warren Buffett once referred to as the "tapeworm" of the American economy. Despite their combined corporate might, entrenched political and systemic barriers proved too challenging to overcome. Acknowledging failure, Berkshire gained valuable insights into its internal healthcare structures and the complexity of U.S. healthcare. Here was a candid declaration of the private sector's limitations without significant governmental intervention.

Section 3: Berkshire's Enduring Investment Philosophy and Greg Abel's Succession

Under Greg Abel, set to succeed Buffett by the end of 2025, Berkshire's investment ethos remains robustly unchanged—aligning with a long-standing tradition of thoughtful capital allocation. Abel prioritises reinvestment in existing operations, strategic acquisitions, and insightful public stock investments, all while maintaining Berkshire's formidable cash reserves. Notably, his management exhibits a more hands-on approach, a deviation from Buffett's typical 'non-interventional' style. By looking to foster synergies across subsidiaries, such as those from Geico's tech advancements, Abel aims to ensure that Berkshire's expansive empire continues to reinforce its foundational values.

Section 4: Warren Buffett's Broader Reflections on the U.S. Economy and Policies

In exploring the U.S. economy, Buffett's discourse extended to significant fiscal challenges, emphasizing the burgeoning national deficit, currently around 7% of GDP. In an enduring lesson, he warns of the impending risks of inflation and currency debasement if left unchecked. His views also touch on the dichotomy within capitalism—the "cathedral" of productive economic activities vs. the "casino" of market speculation. Buffett states that maintaining this delicate balance is essential for the nation's economic vitality.

Trade Tariffs as a Weapon: Buffett's Perspective

While not extensively documented in previous discussions, Buffett's view extends towards trade tariffs—a tool, being used by the current US administration, in global economic negotiation. In Buffett's assessments, using tariffs as a weapon poses a double-edged sword, influencing not just international trade dynamics but potentially impacting domestic economies by driving up costs and complicating foreign relations. His implicit caution suggests that strategic considerations are paramount to avoid adverse long-term economic impacts.

Conclusion: Embracing Transparency and the Importance of Risk Management

Ultimately, this Berkshire Hathaway shareholders' meeting underscores the intrinsic value that comes from understanding risk and maintaining transparency. Buffett's willingness to admit past missteps—such as structural oversights in Pacific Core—exemplifies a culture of honesty that enriches Berkshire's narrative. For those seeking to learn from Buffett's approach, it's a testament to the power of introspection and prudent risk management.

In conclusion, these insights from the Berkshire Hathaway meeting, should encourage all of us to 'step back' and have a deeper contemplation on societal trends and strategic economic thinking, as we consider our own individual investing strategies. I hope it has provided valuable insights into long-term thinking, core principles, and strategic risk management—vital elements for all of us address. Mick (18th May 2025)

Members Notes (Webinar Dates for your diary):

DIY-Investors.com, if you'd like to join the Inner Circle, you'll find details [HERE!](#)

- **Introduction to AI for DIY-Investing (Part 3): Wednesday 28th May 2025 (7.30pm)**
- **June '25 I.C.Webinar: Wednesday 4th June 2025 (7.30pm)**
- **July '25 I.C.Webinar: Wednesday 2nd July 2025 (7.30pm)**
- **Plaza Group Meeting: Wednesday 16th July 2025 (7.30pm)**
- **Aug '25 I.C.Webinar: Wednesday 6th August 2025 (7.30pm)**

Got feedback or a topic you want to explore? Just hit reply and let us know—we'd love to hear from you!

Can't wait to continue this journey together!

Best regards,

Mick Pavey

Founder of diy-investors.com & diy-investors.ai



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